

ROOT pitch deck

PITCH — ROOT — PROPOSED VERDICT: REJECT / NO POSITION — reopen at the Q3'26 print on pre-registered reserve gates, or below ~\$34 (PROPOSED — PENDING ADJUDICATION)

What we believe

Root, Inc. (auto insurer, ~\$794M market cap at ~\$51 on 15.49M shares) is showing headline results that are better than the underlying business. Second-quarter net income of ~\$25M and a 92.1% combined ratio look strong, but both are propped up by two levers that don't repeat: a deliberate cut to marketing spend, and — the decisive court finding — accelerating releases of loss reserves set aside in prior years. In the first half of 2026, \$28.5M of favorable prior-year reserve development funded roughly 47% of the \$61.3M in net income. Strip that out and the company earns about \$66M a year, which puts the stock at roughly 10–12x earnings — not the ~7.9x the original brief advertised. Meanwhile the current-year (accident-year) loss ratio is drifting *worse* (+0.9 points year over year), the company is giving back rate to customers that hasn't yet flowed through results, retention of its own risk jumped from 94.2% to 98.5% (less reinsurance cushion), and earnings are effectively untaxed today only because of a valuation allowance. At 2.4x book value, the price does not pay us for those risks. Both benches independently landed on no-entry: the red (bear) bench at conviction 8/10, the blue (bull-check) bench at 7/10.

What the market believes

The stock trades around \$51, down about 51% from its 52-week high of \$104.47 but already bounced ~25% off its \$40.91 low — so the market has partially repriced but stabilized. The visible bull case is the surface arithmetic: annualize Q2's \$25M net income and you get ~\$102M against a ~\$794M cap (~7.9x earnings, ~31% return on equity), a shrinking share count from buybacks, and a 51%-of-new-business distribution partnership with Carvana. The market is treating reported earnings as clean run-rate earnings. That is the specific belief the court refuted.

Why we might have edge

- **We read the reserve rollforward; the headline multiple didn't.** The finding that ~47% of first-half net income came from prior-year reserve releases comes straight from Note 5 of the 10-Q filed 2026-08-05 (<https://www.sec.gov/Archives/edgar/data/1788882/000178888226000061/root-20260630.htm>). Reserve releases are a depleting asset, not a business.
- **We caught the masking direction.** The calendar-year loss ratio improved ~1 point while the accident-year ratio worsened ~0.9 points — the improvement is entirely funded by releases. That

is the classic pattern of an insurer's headline flattering deteriorating current-period underwriting, and it is happening just as a written rate give-back has yet to earn into results.

- **We verified the cap structure and tax situation from the primary filing**, not summaries: Carvana warrants (7.2M shares max) are all struck at \$180–\$540 — no dilution risk near \$51, but also no equity incentive left for the partner sourcing 51% of new business, with expiry 2027-09-01.
- **The court corrected its own errors both directions** (see the table below), so the surviving numbers have been adversarially stress-tested rather than advocated.

Why it might be priced in

Honesty requires the symmetric case:

- The stock is already down half from its high. A market that has cut the price 51% has priced in *something*; this is not an undiscovered problem.
- The blue bench softened the bear math meaningfully: the red bench's claim of +2.7 points of accident-year deterioration was a calculation error (real figure +0.9 points), and a zero-release assumption is too harsh — well-reserved insurers release reserves routinely, so the honest ex-release multiple is 10–12x, not a disaster.
- There is a real, un-credited bull catalyst: the tax valuation allowance. The 10-Q says it may be released “in the foreseeable future,” which would be a one-time boost to book value and reported earnings.
- The buyback is real (just half the advertised pace), and the Q2 one-time \$4.4M private-equity impairment modestly understated investment income.

Net: the bear case survives, but at reduced severity — this is “not cheap enough for the risk,” not “proven value trap.”

What we checked ourselves

claim	how checked	found	confirmed?
“~7.9x earnings / ~31% ROE” cheap pole	Reserve rollforward in the 10-Q (Note 5), fetched from SEC primary	\$28.5M of favorable prior-year development = ~47% of H1 net income; ex-release run-rate ~\$66M/yr → ~10–12x, not 7.9x	Yes — original brief's headline multiple was an artifact
Accident-year underwriting deteriorating +2.7pts (red bench)	Blue bench recomputed everything on one basis (net, incl. loss-adjustment expense)	True deterioration is +0.9pts (67.2%→68.0%); red mixed net releases against gross premiums — a ~3x overstatement. Red bench error. Direction (masked drift) still stands	Partially — magnitude corrected
“Reinsurance distortion is small” (red bench)	Year-over-year retention check	Red only checked the current period; retention moved 94.2%→98.5% YoY — exactly the contamination it dismissed, and it means more volatility per dollar of equity. Red bench partial miss	Yes (as a correction)

claim	how checked	found	confirmed?
Earnings effectively untaxed	10-Q tax note	\$0.2M tax on \$25.6M pretax; full valuation allowance; steady-state EPS ~22% lower — but the note flags possible allowance release, a one-time bull catalyst the red bench under-credited	Yes, with bull offset
Buyback shrinks share count ~2.5%/quarter	10-Q buyback disclosure + share counts	The \$20.8M / 0.4M shares was the six-month figure — actual pace ~1.3%/quarter. Original brief error, ~2x overstated. Diluted count actually grew 15% YoY 2024→2025; net shrink is one quarter old	Yes (claim cut in half)
Hidden dilution	10-Q warrant note	Carvana warrants: 7.2M shares max, strikes \$180–\$540, all far out of the money, expire 2027-09-01 — clean, but partner equity alignment is functionally dead	Yes — clean
One-time \$4.4M PE impairment in Q2	Cited by red, not re-fetched by blue	Modest pro-bull adjustment	Plausible only
Live price	IBKR snapshot denied both bench sessions	Benches quoted a stale \$49.83; later snapshots \$51.04–\$51.26. All multiples above use ~\$51 × 15.49M shares	No — process gap, noted

PROPOSED ENTRY BANDS

The courts say **no entry today** (both benches: REJECT / no position). Reopen conditions, from the benches' own math:

- **Price reopen: below \$34.00.** That is ~8x the \$66M ex-reserve-release annualized earnings floor on 15.49M shares — the level at which the kill case's own arithmetic stops working. A touch there triggers a fresh court, not an automatic buy.
- **Event reopen: the Q3'26 report (est. 2026-11-04, date unconfirmed).** Pre-registered gates, all required together: (1) favorable prior-year development ≤ ~\$5M for the quarter **with** flat-or-better accident-year loss picks; (2) a statutory surplus read completed (currently unread — see below); (3) buyback continuing to net-shrink the share count. If all three pass, re-court for entry sizing; no size is pre-authorized.
- **Exits/trim:** not applicable — no position, no resting orders.
- **Watch-only dates:** 2026-11-04 Q3 earnings (vendor-derived, unconfirmed); 2027-09-01 Carvana warrant expiry.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 34.0 (deck-provisional: ~8x the \$66M ex-reserve-release annualized earnings floor on 15.49M shares - kill-case arithmetic fail)

- filing watch: 10-Q,8-K until 2027-02-10 (deck-provisional: Q3'26 reserve rollforward reopen test: favorable prior-year development <=\$5M with flat-or-better acci)
- dated pack ROOT|2026-11-04: ROOT: Q3 2026 earnings (vendor-derived estimate, no company PR yet) (date confirmed=False)
- dated pack ROOT|2027-09-01: ROOT: Carvana warrant expiry (strikes \$180-\$540, all far out of the money; partner equity alignment ends) (date confirmed=True)

What remains unverified

- **Statutory surplus vs. ~\$1.45B of net premiums written on \$327.9M of GAAP equity** — the single biggest open question; neither bench closed it, and the quota-share cushion that used to absorb volatility is largely gone.
- **State rate filings (SERFF)** — whether the ~3%+ rate the thesis needs is actually achievable; no connector exists.
- **The Q3 earnings date** — vendor-derived; no company press release or scheduling 8-K yet.
- **The \$4.4M PE impairment** — cited once, never re-fetched from the primary document.
- **Live executable quote** — IBKR permission was denied in both bench sessions; all price math is snapshot-based (~\$51).

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